the aspects of risk premiums being very low was that option prices were generally too cheap. I like buying options when they are cheap. It was a low-volatility bubble, which meant that options worked. That's not always the case.

What other types of trades were you doing during the financial bubble?

What were central banks doing at the time? They were hiking rates. So I did a lot of trades related to monetary policy. During the entire Fed hiking cycle of 2005 to 2006, the futures market kept on being priced on the premise that it was about to stop. The market kept paying you over and over again to take the trade that said maybe it won't stop. It's extremely unlikely that the Fed would go from hiking to cutting immediately. Also, monetary policy was still pretty accommodative considering you had all the signs of a bubble. It was quite obvious that you needed higher rates when everything about the economy was signaling that you were in a bubble. So you had a great risk/reward trade that in six months they would still be hiking. As the months rolled on, they kept on hiking, and the market kept on saying, "I'm sure they'll stop soon." You could keep on repeating the trade.

Why was the market at the time expecting monetary policy to ease?

I try to avoid conceptualizing the market in anthropomorphic terms. Markets don't think. Just like mobs don't think. Why did the mob decide to attack that building? Well, the mob didn't actually think that. The market simply provides a price that comes about through a collection of human beings.

Okay then, rephrase the question in your own words.

What you are asking is, "Why wasn't the market priced efficiently?" There are very few market forces to make macro markets priced efficiently. Hedge funds are tiny in the macro space. If you are talking about tech stocks, then sure, hedge funds are massive. But if you are talking about the foreign exchange (FX) market or Treasuries, hedge funds are tiny compared to real money. In comparison, PIMCO or the Chinese are enormous. There are trillions of dollars moving in these markets, which make the little people like me quite irrelevant. We are not